

Economics**Higher level / Standard level****Paper 2****SME Mark Scheme — Paper 2 Advanced**

1. Use the question-specific mark scheme together with the mark bands.
2. Whenever relevant, carry-over (OFR) marks must be awarded.
3. A candidate may be penalised once for rounding/unit errors across (b) subparts.

Question 1 — Nigeria**1. (a) (i) Define poverty. [2]**

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>Vague definition.</i> The idea that poverty is a condition of low income.	1
2	<i>Accurate definition.</i> An understanding that poverty is the inability of an individual or household to meet basic needs; absolute poverty is defined by income below the minimum necessary to satisfy basic physical needs, while relative poverty is defined relative to the typical standard of living in a society.	2

1. (a) (ii) Define Human Development Index (HDI). [2]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>Vague definition.</i> The idea that HDI measures development in a country.	1
2	<i>Accurate definition.</i> An understanding that the HDI is a composite index created by the UNDP to measure economic development, combining indicators of health (life expectancy), education (expected and mean years of schooling) and living standards (GNI per capita, PPP).	2

1. (b) (i) Percentage change in Nigeria's HDI between 2010 and 2022. [3]

HDI 2010 = 0.487; HDI 2022 = 0.535.

$$\% \text{ change} = [(0.535 - 0.487) / 0.487] \times 100 \quad [1]$$

$$= (0.048 / 0.487) \times 100 \quad [1]$$

Answer = 9.86% [1] (correct units and 2 d.p. required for full marks).

1. (b) (ii) Nominal GDP per capita of Nigeria in 2022. [2]

Nominal GDP = \$477 bn; population $\approx$ 218 million.

$$\text{GDP per capita} = 477,000,000,000 / 218,000,000 \quad [1]$$

Answer = US\$2,188.07 per person [1]

1. (c) Demand and supply — removal of fuel subsidy. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For a demand and supply diagram with supply shifting left (cost rises as subsidy removed) OR an explanation that removing the subsidy raises costs and prices [1], reducing equilibrium quantity [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct demand and supply diagram showing supply curve shifting up to the left AND an explanation that removal of subsidy raises effective price to consumers [1], leading to lower quantity consumed [1].	3-4

1. (d) Exchange rate — naira unification and exporters. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For an exchange rate diagram with the naira depreciating OR an explanation that devaluation makes exports cheaper to foreigners [1], boosting export competitiveness [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct exchange rate diagram showing the naira falling in value AND an explanation that Nigerian exporters benefit from cheaper domestic-currency prices to foreign buyers [1], raising export volumes and revenues (Marshall–Lerner permitting) [1].	3-4

1. (e) AD/AS — infrastructure deficiencies and LRAS. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For an AD/AS diagram with LRAS failing to shift right OR an explanation that unreliable electricity raises costs [1], reducing productive potential and limiting long-run growth [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct AD/AS diagram showing the LRAS to the left of its potential AND an explanation that infrastructure gaps raise production costs [1], limiting LRAS and undermining long-term growth [1].	3-4

1. (f) Corruption and poverty cycle. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For a poverty-cycle diagram showing low investment / low human capital OR an explanation that corruption diverts resources [1], reducing investment in education and health and perpetuating poverty [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct poverty-cycle diagram (vicious circle of low income, low saving, low investment) AND an explanation that corruption weakens institutions [1], deters FDI and undermines human capital accumulation [1].	3-4

1. (g) Evaluate AfCFTA as most effective strategy for economic development in Nigeria. [15]

Answers **may** include:

- Definitions of economic development, HDI, free trade area.
- Theory/diagrams: AD/AS, tariff diagram, poverty cycle, trade creation/diversion.
- **Benefits of AfCFTA:** larger market of 1.3 bn consumers (Text A, 5); export diversification away from oil; economies of scale for manufacturing; regional supply chains; potential FDI attraction.
- **Limitations:** deep structural weaknesses: 40% poverty (Text A, 1); high corruption (Text B, 3); infrastructure gaps (Text B, 4); youth unemployment >40% (Text B, 5); low HDI of 0.535 (Text B, 1); falling GNI per capita (Table 1).
- **Alternatives:** continued structural reform, removal of fuel subsidy (already done), broader tax base, investment in human capital and infrastructure, anti-corruption measures, exchange-rate unification (Text A, 4).
- **Synthesis / conclusion:** a reasoned judgement — typically that AfCFTA can complement but not substitute for fundamental governance and supply-side reform; effectiveness depends on Nigeria's ability to compete.

Marks	Level descriptor
0	<i>The work does not meet a standard described by the descriptors below.</i>
1–3	The response indicates little understanding of the specific demands of the question. Economic theory is stated but it is not relevant. Economic terms are stated but they are not relevant. The response contains no evidence of synthesis or evaluation. The response contains no use of text/data.
4–6	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included. The response contains evidence of superficial synthesis or evaluation. The response contains limited use of text/data.

7–9	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included. The response contains evidence of appropriate synthesis or evaluation but lacks balance. The response includes some relevant information from the text/data.
10–12	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included and explained. The response contains evidence of appropriate synthesis or evaluation that is mostly balanced. The use of information from the text/data is generally appropriate, relevant, and applied correctly.
13–15	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained. The response contains evidence of effective and balanced synthesis or evaluation. The use of information from the text/data is appropriate, relevant, and is used to formulate a reasoned argument supported by analysis/evaluation.

Question 2 — Brazil

2. (a) (i) Define **inflation targeting**. [2]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>Vague definition.</i> The idea that the central bank tries to keep inflation low.	1
2	<i>Accurate definition.</i> An understanding that inflation targeting is a monetary policy framework in which the central bank publicly commits to keeping the inflation rate close to a pre-announced numerical target, typically using the policy interest rate as its main instrument.	2

2. (a) (ii) Define **common access resource**. [2]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>Vague definition.</i> The idea that a common access resource is something that belongs to no one in particular.	1
2	<i>Accurate definition.</i> An understanding that a common access resource is one that is non-excludable (no one can be prevented from using it) but rivalrous (one person's use reduces availability for others), such as ocean fisheries or the Amazon rainforest — often leading to over-use (the tragedy of the commons).	2

2. (b) (i) Average rate of inflation in Brazil, 2018–2023. **[2]**

Average = $(3.7 + 4.3 + 4.5 + 10.1 + 5.8 + 4.6) / 6$ [1]

= $33.0 / 6$

Answer = 5.50% [1] (correct units and 2 d.p. required).

2. (b) (ii) Percentage depreciation of the real against the US dollar, 2018–2022. **[3]**

BRL per US\$: 2018 = 3.87; 2022 = 5.16.

% depreciation = $[(5.16 - 3.87) / 5.16] \times 100$ [1]

= $(1.29 / 5.16) \times 100$ [1]

Answer = 25.00% depreciation of the real [1]

Alternative (appreciation of the dollar): $(1.29 / 3.87) \times 100 = 33.33\%$ appreciation of the US dollar.

2. (c) AD/AS — higher Selic rate to reduce inflation. **[4]**

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For an AD/AS diagram with AD shifting left OR an explanation that higher interest rates reduce consumption and investment [1], lowering AD and the price level [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct AD/AS diagram showing AD shifting left AND an explanation that higher rates raise borrowing costs and saving returns [1], reducing AD and containing demand-pull inflation [1].	3-4

2. (d) Common access / externality — Amazon deforestation. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For a negative production externality diagram with $MSC > MPC$ and welfare loss OR an explanation that producers ignore the external cost of deforestation [1], over-producing cattle and soy [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct externality diagram (or common access resource diagram showing unsustainable use) AND an explanation that producers bear no private cost for ecosystem damage [1], leading to excessive deforestation and welfare loss [1].	3-4

2. (e) Bolsa Família and inequality. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For a Lorenz curve diagram shifting inward towards the line of equality OR an explanation that cash transfers raise income of the poorest [1], reducing post-transfer inequality [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct Lorenz curve diagram showing a shift toward equality AND an explanation that direct transfers lift the income of the lowest quintile [1], reducing the Gini coefficient and inequality [1].	3-4

2. (f) Exchange rate — fall in commodity prices and the real. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For an exchange rate diagram showing the BRL depreciating OR an explanation that lower commodity prices reduce export revenues, reducing demand for the real [1], which depreciates [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct exchange rate diagram with demand for BRL shifting left AND an explanation that falling commodity exports reduce foreign demand for BRL [1], depreciating the currency [1].	3-4

2. (g) Evaluate effectiveness of Brazil's inflation-targeting regime for macroeconomic stability and inclusive growth. [15]

Answers **may** include:

- Definitions of inflation targeting, monetary policy transmission, inclusive growth, Gini coefficient.
- Theory/diagrams: AD/AS, Phillips curve, Lorenz curve.
- **Strengths:** transition from hyperinflation to moderate inflation; anchored expectations; prompt response to 2021 inflation spike (Selic raised to 13.75%, Text A, 5); inflation back to 4.6% by 2023 (Table 2); signals credibility to investors.
- **Limitations:** high volatility (inflation 10.1% in 2021, Table 2); tight policy slows growth and can worsen unemployment; blunt tool against supply-side shocks (commodity prices, exchange rate); may deepen inequality by raising borrowing costs for poorer households.
- **Inclusive growth:** Bolsa Família + minimum wage reduced Gini from 0.58 to 0.52 (Text A, 3) — but this is fiscal policy, not monetary; deforestation and environmental damage (Text A, 4); green-growth potential (Text B, 5).
- **Synthesis / conclusion:** a reasoned judgement — inflation targeting has delivered greater price stability but cannot on its own deliver inclusive or green growth; needs to be combined with fiscal redistribution and environmental policy.

Marks	Level descriptor
0	<i>The work does not meet a standard described by the descriptors below.</i>
1–3	The response indicates little understanding of the specific demands of the question. Economic theory is stated but it is not relevant. Economic terms are stated but they are not relevant. The response contains no evidence of synthesis or evaluation. The response contains no use of text/data.
4–6	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included. The response contains evidence of superficial synthesis or evaluation. The response contains limited use of text/data.

7–9	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included. The response contains evidence of appropriate synthesis or evaluation but lacks balance. The response includes some relevant information from the text/data.
10–12	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included and explained. The response contains evidence of appropriate synthesis or evaluation that is mostly balanced. The use of information from the text/data is generally appropriate, relevant, and applied correctly.
13–15	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained. The response contains evidence of effective and balanced synthesis or evaluation. The use of information from the text/data is appropriate, relevant, and is used to formulate a reasoned argument supported by analysis/evaluation.